Apple Inc.

Annual Report Extract, Fiscal Year 2025

Fiscal year ended September 27, 2025

A short demo extract containing the three primary financial statements and a brief management discussion. Figures are taken from Apple’s Form 8-K Exhibit 99.1 dated October 30, 2025 (unaudited, in $ millions) and have been re-typeset for demonstration. It is not the full Form 10-K.

Apple Inc.

Consolidated Statements of Operations

Fiscal years ended September 27, 2025 and September 28, 2024 (in $ millions, except per-share amounts)

(In millions, except per-share amounts)	FY2025	FY2024
Net sales:		
Products	307,003	294,866
Services	109,158	96,169
Total net sales	**416,161**	**391,035**
Cost of sales:		
Products	194,116	185,233
Services	26,844	25,119
Total cost of sales	220,960	210,352
Gross margin	**195,201**	**180,683**
Operating expenses:		
Research and development	34,550	31,370
Selling, general and administrative	27,601	26,097
Total operating expenses	62,151	57,467
Operating income	**133,050**	**123,216**
Other income/(expense), net	(321)	269
Income before provision for income taxes	132,729	123,485
Provision for income taxes	20,719	29,749
Net income	**112,010**	**93,736**
Earnings per share:		
Basic	$ 7.49	$ 6.11
Diluted	$ 7.46	$ 6.08
Shares used in computing earnings per share:		
Basic	14,948,500	15,343,783
Diluted	15,004,697	15,408,095

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Consolidated Balance Sheets

As of September 27, 2025 and September 28, 2024 (in $ millions)

(In millions)	Sep 27, 2025	Sep 28, 2024
ASSETS:		
Current assets:		
Cash and cash equivalents	35,934	29,943
Marketable securities	18,763	35,228
Accounts receivable, net	39,777	33,410
Vendor non-trade receivables	33,180	32,833
Inventories	5,718	7,286
Other current assets	14,585	14,287
Total current assets	**147,957**	**152,987**
Non-current assets:		
Marketable securities	77,723	91,479
Property, plant and equipment, net	49,834	45,680
Other non-current assets	83,727	74,834
Total non-current assets	211,284	211,993
Total assets	**359,241**	**364,980**
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	69,860	68,960
Other current liabilities	66,387	78,304
Deferred revenue	9,055	8,249
Commercial paper	7,979	9,967
Term debt	12,350	10,912
Total current liabilities	**165,631**	**176,392**
Non-current liabilities:		
Term debt	78,328	85,750
Other non-current liabilities	41,549	45,888
Total non-current liabilities	119,877	131,638
Total liabilities	**285,508**	**308,030**
Shareholders' equity:		
Common stock and additional paid-in capital	93,568	83,276
Accumulated deficit	(14,264)	(19,154)
Accumulated other comprehensive loss	(5,571)	(7,172)
Total shareholders' equity	**73,733**	**56,950**
Total liabilities and shareholders' equity	**359,241**	**364,980**

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Consolidated Statements of Cash Flows

Fiscal years ended September 27, 2025 and September 28, 2024 (in $ millions)

(In millions, except per-share amounts)	FY2025	FY2024
Cash, cash equivalents and restricted cash, beginning balances	29,943	30,737
Operating activities:		
Net income	112,010	93,736
Depreciation and amortization	11,698	11,445
Share-based compensation expense	12,863	11,688
Other	(89)	(2,266)
Changes in operating assets and liabilities:		
Accounts receivable, net	(6,682)	(3,788)
Vendor non-trade receivables	(347)	(1,356)
Inventories	1,400	(1,046)
Other current and non-current assets	(9,197)	(11,731)
Accounts payable	902	6,020
Other current and non-current liabilities	(11,076)	15,552
Cash generated by operating activities	**111,482**	**118,254**
Investing activities:		
Purchases of marketable securities	(24,407)	(48,656)
Proceeds from maturities of marketable securities	40,907	51,211
Proceeds from sales of marketable securities	12,890	11,135
Payments for acquisition of property, plant and equipment	(12,715)	(9,447)
Other	(1,480)	(1,308)
Cash generated by investing activities	**15,195**	**2,935**
Financing activities:		
Payments for taxes related to net share settlement of equity awards	(5,960)	(5,441)
Payments for dividends and dividend equivalents	(15,421)	(15,234)
Repurchases of common stock	(90,711)	(94,949)
Proceeds from issuance of term debt, net	4,481	—
Repayments of term debt	(10,932)	(9,958)
Proceeds from/(Repayments of) commercial paper, net	(2,032)	3,960
Other	(111)	(361)
Cash used in financing activities	**(120,686)**	**(121,983)**
Increase/(Decrease) in cash, cash equivalents and restricted cash	5,991	(794)
Cash, cash equivalents and restricted cash, ending balances	35,934	29,943
Supplemental: cash paid for income taxes, net	43,369	26,102

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Management's Discussion and Analysis

Fiscal 2025 compared with fiscal 2024

Total net sales were $416,161 million in fiscal 2025, up 6.4% from $391,035 million in fiscal 2024. Products net sales rose to $307,003 million and Services net sales rose to $109,158 million, which is 26.2% of the total.

iPhone net sales were $209,586 million, Mac $33,708 million, iPad $28,023 million, and Wearables, Home and Accessories $35,686 million. Greater China net sales fell 3.8% to $64,377 million, while Americas, Europe, Japan and Rest of Asia Pacific all grew.

Gross margin was $195,201 million, or 46.9% of net sales, compared with 46.2% a year earlier. Operating income was $133,050 million, an operating margin of 32.0%.

Net income was $112,010 million, up 19.5%. Diluted earnings per share were $7.46 compared with $6.08.

Cash generated by operating activities was $111,482 million. The Company returned cash through repurchases of common stock of $90,711 million and dividends of $15,421 million, and spent $12,715 million on property, plant and equipment.

At September 27, 2025, total assets were $359,241 million, total liabilities were $285,508 million and total shareholders’ equity was $73,733 million. Cash, cash equivalents and marketable securities totalled $132,420 million.